accordance with her importance, reasonable flexibility of exchange rates, and liberty to secede without undue loss of time and without penalty.

While recognizing the fact that it would be unrealistic to expect a solution on the vexed issue of sterling balances in the near future, the Board observed that any future arrangement should provide for the liquidation of the balances within a reasonable period and their conversion into universal purchasing power so as to assist in India's development effort.

A Broad Outline of the Fund

On April 21, 1944, Morgenthau announced the 'Joint Statement by Experts' a tentative agreement that grew out of the Keynes and White plans regarding a broad outline of the basic principles that would govern the establishment of a Fund—the International Monetary Fund. The Agreement was the result of many months study by technical experts from more than thirty countries. While the purposes of the Fund included international monetary cooperation and other aims which found mention in the Keynes and White plans, an important objective specifically mentioned was 'to facilitate the expansion and balanced growth of international trade and to contribute in this way to the maintenance of a high level of employment and of real income, which must be a primary objective of economic policy.'[16] Morgenthau also declared that an international conference to discuss the proposals was in the offing. However, there was no reference to facilitating effective use of blocked war balances as one of the objectives of the Fund.

Members would subscribe in gold and in their local funds. The obligatory gold subscription was fixed at 25 percent of a member's quota, or 10 percent of its holdings of gold and gold-convertible exchange, whichever was smaller. The transactions between the Fund and the member countries were described in detail. The par value of a member's currency would have to be agreed to with the Fund, and expressed in terms of gold and not unitas as proposed in the revised White plan (July 1943). Members agreed not to propose a change in the parity of their currency except to correct a fundamental disequilibrium. Changes were to be made only with the approval of the Fund. A change not exceeding 10 percent was allowed, and a further change of 10 percent could be requested, the Fund having to give its decision within two days.